

street by a gang of thugs. Tullia then drove her chariot to the senate house where she hailed Tarquin as the new king. As she returned home along the street where Servius had been killed, she encountered her father's body lying prostrate where the thugs had left it. She steered her chariot toward him, and then drove her chariot wheel over his body. Thus did Fortuna lift up Servius from slave to king, only to forsake him, and have him crushed symbolically under her wheel. Fortuna is a cruel mistress.

Fortuna and her wheel of fortune are fitting motifs for deep value investment. Fortuna, as the personification of luck, is a pervasive influence on the stock market. It pushes the outcomes we observe away from the outcomes we expect, and in so doing obscures the presence, or absence, of skill. We can see the impact of luck in the financial results of businesses and the performance of investment strategies. It is chance, randomness, and dispersion, but its influence only extends to the short term. Over the longer term, the role of luck diminishes and the impact of skill becomes more pronounced. Where early good luck gives way to average skill, the leader returns to the pack. Where average skill overcomes early bad luck, the laggard catches up to the pack. Thus Fortuna's wheel turns, *Regno* (I reign) becomes *Regnavi* (I reigned), and *Sum sine regno* (I am without a kingdom) becomes *Regnabo* (I shall reign). This is mean reversion.

By putting the words, "Many shall be restored that now are fallen and many shall fall that now are in honor" on the facing page of *Security Analysis*, Graham gave the most prominent position in his seminal text to the idea that Fortuna's wheel turns too for securities, lowering those that have risen and lifting those that have fallen. The line, from Horace's *Ars Poetica*, echoes the phrase spoken by the wise men of legend who boiled down the history of mortal affairs into the four words, "This too will pass." This is *regression toward the mean*, an expression coined by Sir Francis Galton (1822 to 1911) with the 1886 publication of his paper "Regression Towards Mediocrity in Hereditary Stature."⁶ In the paper, Galton proposed that the children of unusually tall or unusually short parents tended to be closer to the average height than their parents. Galton had observed in his research that the children of taller parents tend to be taller than average, but not as tall as their parents, and the children of shorter parents tended to be shorter than average, but not as short as their parents. He described the change in the children's heights relative to their parents' heights as a "regression towards mediocrity," now known as regression toward the mean.

In statistics the term is typically used to describe a phenomenon quite distinct from that identified by Galton. Mean reversion in statistics is the process by which an initial sampling error diminishes as repeated or larger samples show values closer to the expected value. For example, we expect on the toss of a fair coin that heads or tails is equally likely, and so the chance